

The Commodities Feed: Oil moves higher amid US-Iran stalemate

Oil prices had a strong week, with little progress in peace talks between the US and Iran. In the absence of progress, the oil market will have to move higher



Energy - US announces further Iranian related sanctions

Oil is trading stronger this morning after attempts to get US-Iran peace talks back on track broke down, erasing hopes for a resumption of energy flows through the Strait of Hormuz anytime soon. ICE Brent is up around 2% in early-morning trading today, after rallying almost 17% over the course of last week. The lack of progress means the market is tightening every day, requiring oil prices to reprice at higher levels. There's little alternative to fill a roughly 13m b/d shortfall. In the short term, inventories help to fill the gap, whether commercial or strategic reserves. Clearly, the longer this persists, the more demand destruction we will need to see. To see further demand destruction, prices will need to move higher.

However, there are newswire reports this morning that Iran has offered the US a new proposal to reopen the Strait of Hormuz, while delaying nuclear negotiations for a later stage.

US efforts to cut off Iranian oil would add to the upside. Last week, the US seized a sanctioned tanker carrying Iranian oil in the Indian Ocean. The US also has tightened Iranian oil-related sanctions. It imposed sanctions on China's Hengli Petrochemical (Dalian) Refinery Co. for its purchases of Iranian oil, as well as approximately 40 shipping companies and vessels that form part of Iran's shadow fleet. Amid the disruptions in the Strait of Hormuz, Iranian oil has continued

to transit the strait. The US blockade appears aimed at forcing a resolution and increasing pressure on Iran to return to negotiations. The latest positioning data does not entirely capture the move seen in the market over the last week. This helps to explain why speculators decreased their net long in ICE Brent by 4,069 lots to 369,343 lots as of last Tuesday. Similarly, NYMEX WTI saw minimal change in managed money positioning, with the net long reduced by just 842 lots to 143,401 lots.

Metals – Aluminium spreads tighten on Persian Gulf supply hit

Aluminium spreads strengthened further amid the ongoing disruptions to Persian Gulf. The LME cash-to-three-month spread moved deeper into backwardation, reaching almost \$78/t on Friday, while tom-next hit a backwardation of \$18/t, the strongest level since April 2024.

Weekly data from the Shanghai Futures Exchange (SHFE) showed that copper stocks fell by 39,083 tonnes for a sixth consecutive week to 201,373 tonnes as of last Friday. Lead inventories decreased by 1,209 tonnes to 59,743 tonnes, after reporting gains for two straight weeks. Zinc inventories declined by 2,585 tonnes to 143,495 tonnes. Meanwhile, weekly inventories for aluminium rose by 2,265 tonnes to 480,619 tonnes (the highest level since the week ending 17 April 2020). Lastly, nickel stocks increased by 1.5% week-on-week to 68,872 tonnes, the highest level since July 2017.

CFTC data shows that speculators increased net long positions in COMEX copper by 6,995 lots to 59,132 lots as of 21 April. In precious metals, managed money net longs in COMEX gold decreased by 3,352 lots to 95,498 lots over the last reporting week. Inflationary concerns amid the ongoing energy disruptions in the Persian Gulf have seen investor appetite for gold sour. Similarly, speculators decreased their net long in COMEX silver by 2,183 lots to 8,863 lots as of Tuesday.

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